Moody's

# First-Quarter 2015 Earnings Call

May 1, 2015

# Overview

**SALLI SCHWARTZ**
GLOBAL HEAD OF INVESTOR RELATIONS

# Agenda

## 1. First-Quarter 2015 Results

Ray McDaniel, President and Chief Executive Officer

## 2. Financial and Operating Highlights

Linda Huber, Executive Vice President and Chief Financial Officer

## 3. 2015 Outlook

Ray McDaniel, President and Chief Executive Officer

## 4. Q&A

Ray McDaniel, President and Chief Executive Officer
Linda Huber, Executive Vice President and Chief Financial Officer
Michel Madelain, President and Chief Operating Officer, Moody's Investors Service
Mark Almeida, President, Moody's Analytics

# Disclaimer

Certain statements contained in this release are forward-looking statements and are based on future expectations, plans and prospects for Moody's business and operations that involve a number of risks and uncertainties. Moody's outlook for 2015 and other forward-looking statements in this release are made as of May 1, 2015, and the Company disclaims any duty to supplement, update or revise such statements on a going-forward basis, whether as a result of subsequent developments, changed expectations or otherwise. In connection with the "safe harbor" provisions of the Private Securities Litigation Reform Act of 1995, the Company is identifying certain factors that could cause actual results to differ, perhaps materially, from those indicated by these forward-looking statements. Those factors, risks and uncertainties include, but are not limited to, the current world-wide credit market disruptions and economic slowdown, which is affecting and could continue to affect the volume of debt and other securities issued in domestic and/or global capital markets; other matters that could affect the volume of debt and other securities issued in domestic and/or global capital markets, including credit quality concerns, changes in interest rates and other volatility in the financial markets; the level of merger and acquisition activity in the U.S. and abroad; the uncertain effectiveness and possible collateral consequences of U.S. and foreign government initiatives to respond to the current world-wide credit market disruptions and economic slowdown; concerns in the marketplace affecting Moody's credibility or otherwise affecting market perceptions of the integrity or utility of independent credit agency ratings; the introduction of competing products or technologies by other companies; pricing pressure from competitors and/or customers; the level of success of new product development and global expansion; the impact of regulation as an NRSRO, the potential for new U.S., state and local legislation and regulations, including provisions in the Financial Reform Act and regulations resulting from that Act; the potential for increased competition and regulation in the EU and other foreign jurisdictions; exposure to litigation related to Moody's rating opinions, as well as any other litigation, government and regulatory proceedings, investigations and inquiries to which the Company may be subject from time to time; provisions in the Financial Reform Act legislation modifying the pleading standards, and EU regulations modifying the liability standards, applicable to credit rating agencies in a manner adverse to credit rating agencies; provisions of EU regulations imposing additional procedural and substantive requirements on the pricing of services; the possible loss of key employees; failures or malfunctions of Moody's operations and infrastructure; any vulnerabilities to cyber threats or other cybersecurity concerns; the outcome of any review by controlling tax authorities of the Company's global tax planning initiatives; the outcome of those Legacy Tax Matters and legal contingencies that relate to the Company, its predecessors and their affiliated companies for which Moody's has assumed portions of the financial responsibility; exposure to potential criminal sanctions or civil remedies if the Company fails to comply with foreign and US laws and regulations that are applicable in the jurisdictions in which the Company operates, including sanctions laws, anti-corruption laws and local laws prohibiting corrupt payments to government officials; the impact of mergers, acquisitions or other business combinations and the ability of the Company to successfully integrate acquired businesses; currency and foreign exchange volatility; the level of future cash flows; the levels of capital investments; and a decline in the demand for credit risk management tools by financial institutions; and other risk factors as discussed in the Company's annual report on Form 10-K for the year ended December 31, 2014 and in other filings made by the Company from time to time with the Securities and Exchange Commission.

# 1. First-Quarter 2015 Results

**RAY MCDANIEL**
PRESIDENT AND CHIEF EXECUTIVE OFFICER

# First-Quarter 2015 Results and Comparison to First-Quarter 2014

## Moody's Corporation

| | |
|---|---|
| » Revenue | ↑ 13% to $866 million<br>• 18% on a constant currency basis<br>• 16% excluding acquisitions and the impact of FX |
| » Expense | ↑ 14% to $494 million |
| » Operating Income | ↑ 12% to $371 million |
| » Adjusted Operating Income | ↑ 12% to $400 million |
| » Operating Margin | • 42.9% |
| » Adjusted Operating Margin | • 46.2% |
| » GAAP EPS | ↑ 11% to $1.11 |

# 2. Financial and Operating Highlights

**LINDA HUBER**
EXECUTIVE VICE PRESIDENT AND CHIEF FINANCIAL OFFICER

# First-Quarter 2015 Results and Comparison to First-Quarter 2014

## Moody's Corporation Revenue

| | |
|---|---|
| » Total Global | ↑ 13% at $866 million<br>• Foreign currency translation unfavorably impacted revenue by 5% |
| » U.S. | ↑ 17% to $500 million |
| » Non-U.S. | ↑ 7% to $366 million<br>• 42% of Total Global |
| » Recurring Revenue | • $424 million<br>• 49% of Total Global |

# First-Quarter 2015 Results and Comparison to First-Quarter 2014 (continued)

## MIS Revenue by Geography

| | |
|---|---|
| » Total MIS | ↑ 14% to $602 million<br>• 12% excluding 2014 ICRA consolidation<br>• Foreign currency translation unfavorably impacted revenue by 5% |
| » U.S. | ↑ 18% to $372 million |
| » Non-U.S. | ↑ 8% to $231 million<br>• 38% of Total MIS |

# First-Quarter 2015 Results and Comparison to First-Quarter 2014 (continued)

## MIS Revenue by Line of Business

- Corporate Finance: $299 million
  - Global ↑ 13%
  - U.S. ↑ 13%
  - Non-U.S. ↑ 14%

- Structured Finance: $101 million
  - Global ↑ 6%
  - U.S. ↑ 13%
  - Non-U.S. ↓ 6%

# First-Quarter 2015 Results and Comparison to First-Quarter 2014 (continued)

## MIS Revenue by Line of Business

- Financial Institutions: $94 million
  - Global ↑ 10%
  - U.S. ↑ 19%
  - Non-U.S. ↑ 4%

- Public, Project & Infrastructure Finance: $101 million
  - Global ↑ 25%
  - U.S. ↑ 37%
  - Non-U.S. ↑ 7%

- MIS Other: $8 million in 1Q15 versus $3 million in 1Q14

# First-Quarter 2015 Results and Comparison to First-Quarter 2014 (continued)

## MA Revenue by Geography

- » Total MA — ↑ 11% to $263 million
  - 7% excluding 2014 acquisitions
  - Foreign currency translation unfavorably impacted revenue by 5%
- » U.S. — ↑ 17% to $128 million
- » Non-U.S. — ↑ 5% to $135 million
  - 51% of Total MA

# First-Quarter 2015 Results and Comparison to First-Quarter 2014 (continued)

## MA Revenue by Line of Business

» RD&A: $150 million

| | |
|---|---|
| – Global | ↑ 9% |
| | • 96% customer retention rate |
| – U.S. | ↑ 13% |
| – Non-U.S. | ↑ 3% |

# First-Quarter 2015 Results and Comparison to First-Quarter 2014 (continued)

## MA Revenue by Line of Business

» ERS: $77 million

- Global ↑ 29%
- U.S. ↑ 41%
- Non-U.S. ↑ 22%
- TTM* Revenue ↑ 28%
- TTM* Sales ↑ 24%

» Professional Services: $37 million

- Global ↓ 10%
- U.S. ↓ 4%
- Non-U.S. ↓ 13%

*Trailing twelve months

# First-Quarter 2015 Results and Comparison to First-Quarter 2014 (continued)

## Moody's Corporation

- » Total Expense — ↑ 14% to $494 million
  - 9% excluding 2014 ICRA consolidation and 2014 acquisitions
  - Foreign currency translation favorably impacted expense by 4%
- » Operating Margin — • 42.9%
- » Adjusted Operating Margin — • 46.2%
- » Excluding 2014 ICRA consolidation and 2014 acquisitions Moody's added 100 bps of operating leverage
- » Effective Tax Rate — • 32.9%

# Capital Allocation

- During 1Q15 repurchased 3.8 million shares at a total cost of $366 million and issued approximately 2.3 million shares under annual employee stock-based compensation plans
- As of March 31, 2015 shares outstanding totaled 202.2 million
  - 5% decline from March 31, 2014
- As of March 31, 2015, $1.2 billion of share repurchase authority remaining

# Balance Sheet and Free Cash Flow

- On March 9, 2015, issued €500 million of 12-year senior unsecured notes at 1.75%
- As of March 31, 2015, Moody's had:
  - $3.1 billion of outstanding debt
  - $1.0 billion of additional debt capacity under revolving credit facility
  - Cash, cash equivalents and short-term investments of $2.0 billion
    - Approximately 63 percent of cash holdings maintained outside the U.S.
- Free cash flow of $242.8 million in 1Q15, up 54% from 1Q14
- On April 17, 2015, announced a quarterly dividend of $0.34 per share of common stock

# 3. 2015 Outlook

**RAY MCDANIEL**
PRESIDENT AND CHIEF EXECUTIVE OFFICER

# 2015 Outlook

- Guidance assumes foreign currency translation at end-of-quarter exchange rates
  - $1.48 to £1 and $1.07 to €1
- Still expect full-year 2015 revenue to grow in the mid-single-digit percent range
- On a constant dollar basis, Moody's full-year 2015 revenue and operating expense growth rates would now both be 4 to 5 percent higher
  - Up from the approximately 3 percent growth we communicated in February
- Still expect diluted EPS in the range of $4.55 to $4.65

# Changes to MIS 2015 Full-Year Financial Outlook*

| | | |
|---|---|---|
| » U.S. | ↑ | high-single-digit % range |
| » Non-U.S. | ↑ | low-single-digit % range |
| » Structured Finance | ↑ | low-single-digit % range |
| » Financial Institutions | ↑ | low-single-digit % range |

*Refer to "Moody's Corporation Reports Results for First-Quarter 2015" press release for a full review of guidance

# Changes to MA 2015 Full-Year Financial Outlook*

| | | |
|---|---|---|
| » U.S. | ↑ | low-double-digit % range |
| » Non-U.S. | ↑ | low-single-digit % range |
| » Professional Services | ↓ | low-single-digit % range |

*Refer to “Moody’s Corporation Reports Results for First-Quarter 2015” press release for a full review of guidance

# 4. Q&A Session

- Ray McDaniel

  President and Chief Executive Officer, Moody’s Corporation

- Linda Huber

  Executive Vice President and Chief Financial Officer, Moody’s Corporation

- Michel Madelain

  President and Chief Operating Officer, Moody’s Investors Service

- Mark Almeida

  President, Moody’s Analytics

# Investor Day 2015

Moody's

Save the Date

## Moody's Investor Day 2015

**Wednesday, September 30, 2015**

Moody's Corporation is holding its annual Investor Day. Located in New York, this event will feature presentations from our management team and showcase important aspects of our business.

Additional details to follow.

# Replay Details

» Available from 3:30pm (Eastern Time) May 1, 2015 until 3:30pm (Eastern Time) May 30, 2015

» Telephone Details:

| | |
|---|---|
| – U.S. and Canada | +1-888-203-1112 |
| – Other | +1-719-457-0820 |
| – Passcode | 6383368 |

» Webcast Details:

– Go to http://ir.moodys.com

– Click on “Events & Presentations” featured on the left

– Click on the link for “1Q 2015 Earnings Conference Call”

# Appendix

# Consolidated Statements of Operations (Unaudited)

| *Amounts in millions, except per share amounts* | Three Months Ended March 31, 2015 | | Three Months Ended March 31, 2014 | |
|---|---|---|---|---|
| **Revenue** | **$** | **865.6** | **$** | **767.2** |
| **Expenses:** | | | | |
| Operating | | 244.4 | | 216.0 |
| Selling, general and administrative | | 221.3 | | 195.1 |
| Depreciation and amortization | | 28.6 | | 23.1 |
| **Total expenses** | | **494.3** | | **434.2** |
| **Operating income** | | **371.3** | | **333.0** |
| **Non-operating (expense) income, net** | | | | |
| Interest (expense) income, net | | (29.3) | | (23.8) |
| Other non-operating (expense) income, net | | 2.5 | | 2.4 |
| Total non-operating (expense) income, net | | (26.8) | | (21.4) |
| **Income before provision for income taxes** | | **344.5** | | **311.6** |
| Provision for income taxes | | 113.2 | | 89.9 |
| Net income | | 231.3 | | 221.7 |
| Less: net income attributable to non-controlling interests | | 1.2 | | 3.7 |
| **Net income attributable to Moody's Corporation** | **$** | **230.1** | **$** | **218.0** |
| **Earnings per share attributable to Moody's common shareholders** | | | | |
| Basic | $ | 1.14 | $ | 1.02 |
| Diluted | $ | 1.11 | $ | 1.00 |
| **Weighted average number of shares outstanding** | | | | |
| Basic | | 202.7 | | 214.0 |
| Diluted | | 206.5 | | 218.5 |

# Supplemental Revenue Information (Unaudited)

| *Amounts in millions* | Three Months Ended March 31, 2015 | Three Months Ended March 31, 2014 |
|---|---|---|
| **Moody's Investors Service** | | |
| Corporate Finance | $ 298.7 | $ 264.4 |
| Structured Finance | 101.3 | 95.3 |
| Financial Institutions | 93.8 | 85.4 |
| Public, Project and Infrastructure Finance | 100.7 | 80.7 |
| MIS Other* | 7.8 | 3.3 |
| Intersegment royalty | 22.3 | 21.5 |
| Sub-total MIS | 624.6 | 550.6 |
| Eliminations | (22.3) | (21.5) |
| Total MIS revenue | 602.3 | 529.1 |
| **Moody's Analytics** | | |
| Research, Data and Analytics | 149.6 | 137.6 |
| Enterprise Risk Solutions | 77.1 | 59.8 |
| Professional Services | 36.6 | 40.7 |
| Intersegment revenue | 3.3 | 3.3 |
| Sub-total MA | 266.6 | 241.4 |
| Eliminations | (3.3) | (3.3) |
| Total MA revenue | 263.3 | 238.1 |
| **Total Moody's Corporation revenue** | **$ 865.6** | **$ 767.2** |

| **Moody's Corporation revenue by geographic area** | 2015 | 2014 |
|---|---|---|
| United States | $ 499.8 | $ 425.6 |
| International | 365.8 | 341.6 |
| | **$ 865.6** | **$ 767.2** |

*Pursuant to the acquisition of ICRA Ltd. (ICRA) in 2014, the Company realigned certain components of its presentation of revenue by LOB. Beginning in the fourth quarter of 2014, ICRA's non-ratings revenue was combined with non-ratings revenue associated with Moody's majority ownership of Korea Investors Service (KIS) to form the "MIS Other" LOB. Non-ratings revenue from KIS was previously reported in MA's RD&A LOB. Expenses relating to ICRA's and KIS's non-ratings revenue are now reported in the MIS segment. The prior year comparative results have been reclassified to reflect this realignment.

# Supplemental Revenue Reclassification (Unaudited)

| *Amounts in millions* | Three Months Ended March 31,2014 As Reported | Reclassification | As Reclassified |
|---|---|---|---|
| **Moody's Investors Service** | | | |
| Corporate Finance | $ 264.4 | $ - | $ 264.4 |
| Structured Finance | 95.3 | - | 95.3 |
| Financial Institutions | 85.4 | - | 85.4 |
| Public, Project and Infrastructure Finance | 80.7 | - | 80.7 |
| MIS Other | - | 3.3 | 3.3 |
| Total MIS revenue | 525.8 | 3.3 | 529.1 |
| **Moody's Analytics** | | | |
| Research, Data and Analytics | 140.9 | (3.3) | 137.6 |
| Enterprise Risk Solutions | 59.8 | - | 59.8 |
| Professional Services | 40.7 | - | 40.7 |
| Total MA revenue | 241.4 | (3.3) | 238.1 |
| **Total Moody's Corporation** | **$ 767.2** | **$ -** | **$ 767.2** |

# Non-Operating (Expense) Income, Net

| Amounts in millions | Three Months Ended March 31, 2015 | | Three Months Ended March 31, 2014 | |
|---|---|---|---|---|
| **Interest expense, net:** | | | | |
| Expense on borrowings | $ | (28.3) | $ | (26.1) |
| Income | | 1.9 | | 1.6 |
| UTPs and other tax related liabilities | | (3.2) | | 0.6 |
| Interest Capitalized | | 0.3 | | 0.1 |
| **Total interest expense, net** | **$** | **(29.3)** | **$** | **(23.8)** |
| **Other non-operating (expense) income, net:** | | | | |
| FX gain/(loss) | $ | - | $ | 1.0 |
| Joint venture income (loss) | | 1.9 | | 1.8 |
| Other | | 0.6 | | (0.4) |
| **Other non-operating income (expense), net** | | 2.5 | | 2.4 |
| **Total non-operating (expense) income, net** | **$** | **(26.8)** | **$** | **(21.4)** |

# Selected Consolidated Balance Sheet Data (Unaudited)

| *Amounts in millions* | March 31, 2015 | December 31, 2014 |
|---|---|---|
| Cash and cash equivalents | $ 1,509.9 | $ 1,219.5 |
| Short-term investments | 485.5 | 458.1 |
| Total current assets | 3,039.3 | 2,686.4 |
| Non-current assets | 1,936.7 | 1,982.6 |
| Total assets | 4,976.0 | 4,669.0 |
| Total current liabilities | 1,138.2 | 1,199.7 |
| Total debt [1] | 3,095.1 | 2,547.3 |
| Other long-term liabilities | 888.9 | 879.1 |
| Total shareholders' equity(deficit)* | (146.2) | 42.9 |
| Total liabilities and shareholders' equity | 4,976.0 | 4,669.0 |
| | | |
| Actual number of shares outstanding | 202.2 | 204.4 |

* The decrease primarily reflects share repurchases and FX translation losses partially offset by net income in the first three months of 2015.

| [1] Total debt consists of the following: | March 31, 2015 | December 31, 2014 |
|---|---|---|
| Series 2007-1 Notes due 2017 | $ 300.0 | $ 300.0 |
| 2010 Senior Notes due 2020 [a] | 511.1 | 503.8 |
| 2012 Senior Notes due 2022 [b] | 497.0 | 496.9 |
| 2013 Senior Notes due 2024 [c] | 497.5 | 497.5 |
| 2014 Senior Notes due 2019 [d] | 454.1 | 450.7 |
| 2014 Senior Notes due 2044 [e] | 298.4 | 298.4 |
| 2015 Senior Notes due 2027 [f] | 537.0 | - |
| **Total debt** | **$ 3,095.1** | **$ 2,547.3** |

(a) Represents $500 million of 5.5% publicly traded Senior Notes which mature on September 1, 2020; the notes were offered to the public at 99.374% of the face amount and include a $13.0 million and a $5.8 million adjustment relating to the fair value of an interest rate hedge at March 31, 2015 and December 31, 2014, respectively

(b) Represents $500 million of 4.5% publicly traded Senior Notes which mature on September 1, 2022; the notes were offered to the public at 99.218% of the face amount

(c) Represents $500 million of 4.9% publicly traded Senior Notes which mature on February 15, 2024; the notes were offered to the public at 99.431% of the face amount

(d) Represents $450 million of 2.75% publicly traded Senior Notes which mature on July 15, 2019; the notes were offered to the public at 99.838% of the face amount and include a $4.7 million and a $1.4 million adjustment relating to the fair value of an interest rate hedge at March 31, 2015 and December 31, 2014, respectively

(e) Represents $300 million of 5.25% publicly traded Senior Notes which mature on July 15, 2044; the notes were offered to the public at 99.462% of the face amount

(f) Represents €500 million of 1.75% publicly traded Senior Notes which mature on March 9, 2027

# Financial Information by Segment

The table below presents revenue, adjusted operating income and operating income by reportable segment. The Company defines adjusted operating income as operating income excluding depreciation and amortization.

| | Three Months Ended March 31, | | | | | | | |
|---|---|---|---|---|---|---|---|---|
| | 2015 | | | | 2014 | | | |
| | MIS | MA | Eliminations | Consolidated | MIS | MA | Eliminations | Consolidated |
| Revenue | $ 624.6 | $ 266.6 | $ (25.6) | $ 865.6 | $ 550.6 | $ 241.4 | $ (24.8) | $ 767.2 |
| Operating, selling, general and administrative expense | 281.3 | 210.0 | (25.6) | 465.7 | 248.6 | 187.3 | (24.8) | 411.1 |
| **Adjusted operating income** | **343.3** | **56.6** | **-** | **399.9** | **302.0** | **54.1** | **-** | **356.1** |
| Depreciation and amortization | 16.0 | 12.6 | - | 28.6 | 11.4 | 11.7 | - | 23.1 |
| **Operating income** | **$ 327.3** | **$ 44.0** | **$ -** | **$ 371.3** | **$ 290.6** | **$ 42.4** | **$ -** | **$ 333.0** |
| **Adjusted operating margin** | **55.0%** | **21.2%** | | **46.2%** | **54.8%** | **22.4%** | | **46.4%** |
| **Operating margin** | **52.4%** | **16.5%** | | **42.9%** | **52.8%** | **17.6%** | | **43.4%** |

# Transaction and Relationship Revenue

The tables below summarize the split between transaction and relationship revenue. In the MIS segment, excluding MIS Other, transaction revenue represents the initial rating of a new debt issuance as well as other one-time fees while relationship revenue represents the recurring monitoring of a rated debt obligation and/or entities that issue such obligations, as well as revenue from programs such as commercial paper, medium-term notes, shelf registrations and other non-rating subscription based revenue. In MIS Other, transaction revenue represents revenue from professional services and outsourcing engagements and relationship revenue represents subscription based revenues. In the MA segment, relationship revenue represents subscription-based revenues and software maintenance revenue. Transaction revenue in MA represents software license fees and revenue from risk management advisory projects, training and certification services, and outsourced research and analytical engagements.

**Three Months Ended March 31,**

| | **2015** | | | **2014** | | |
|---|---|---|---|---|---|---|
| | Transaction | Relationship | Total | Transaction | Relationship | Total |
| Corporate Finance | $213.6 | $85.1 | $298.7 | $187.9 | $76.5 | $264.4 |
| | 72% | 28% | 100% | 71% | 29% | 100% |
| Structured Finance | $61.8 | $39.5 | $101.3 | $55.7 | $39.6 | $95.3 |
| | 61% | 39% | 100% | 58% | 42% | 100% |
| Financial Institutions | $37.8 | $56.0 | $93.8 | $29.0 | $56.4 | $85.4 |
| | 40% | 60% | 100% | 34% | 66% | 100% |
| Public, Project and Infrastructure Finance | $64.4 | $36.3 | $100.7 | $43.0 | $37.7 | $80.7 |
| | 64% | 36% | 100% | 53% | 47% | 100% |
| MIS Other | $3.3 | $4.5 | $7.8 | - | $3.3 | $3.3 |
| | 42% | 58% | 100% | - | 100% | 100% |
| **Total MIS** | **$380.9** | **$221.4** | **$602.3** | **$315.6** | **$213.5** | **$529.1** |
| | **63%** | **37%** | **100%** | **60%** | **40%** | **100%** |
| **Moody's Analytics** | **$60.6** | **$202.7** | **$263.3** | **$54.6** | **$183.5** | **$238.1** |
| | **23%** | **77%** | **100%** | **23%** | **77%** | **100%** |
| **Total Moody's Corporation** | **$441.5** | **$424.1** | **$865.6** | **$370.2** | **$397.0** | **$767.2** |
| | **51%** | **49%** | **100%** | **48%** | **52%** | **100%** |

# Non-GAAP Financial Measures

The tables below reflect certain adjusted results that the SEC defines as "non-GAAP financial measures" as well as a reconciliation of each non-GAAP measure to its most directly comparable GAAP measure. Management believes that such non-GAAP financial measures, when read in conjunction with the Company's reported results, can provide useful supplemental information for investors analyzing period-to-period comparisons of the Company's performance, facilitate comparisons to competitors' operating results and ~~to~~ provide greater transparency to investors of supplemental information used by management in its financial and operational decision-making. These non-GAAP measures, as defined by the Company, are not necessarily comparable to similarly defined measures of other companies. Furthermore, these non-GAAP measures should not be viewed in isolation or used as a substitute for other GAAP measures in assessing the operating performance or cash flows of the Company.

# Adjusted Operating Income and Adjusted Operating Margin

The table below reflects a reconciliation of the Company's operating income and operating margin to adjusted operating income and adjusted operating margin. The Company defines adjusted operating income as operating income excluding depreciation and amortization. The Company presents adjusted operating income because management deems this metric to be a useful measure of assessing the operating performance of Moody's, measuring the Company's ability to service debt, fund capital expenditures, and expand its business. Adjusted operating income excludes depreciation and amortization because companies utilize productive assets of different ages and use different methods of both acquiring and depreciating productive assets. Management believes that the exclusion of this item, detailed in the reconciliation below, allows for a more meaningful comparison of the Company's results from period to period and across companies. The Company defines adjusted operating margin as adjusted operating income divided by revenue.

| *(amounts in millions)* | **Three Months Ended March 31,** | |
|---|---|---|
| | **2015** | **2014** |
| **Operating income** | **$ 371.3** | **$ 333.0** |
| Depreciation & amortization | 28.6 | 23.1 |
| **Adjusted operating income** | **$ 399.9** | **$ 356.1** |
| **Operating margin** | **42.9%** | **43.4%** |
| **Adjusted operating margin** | **46.2%** | **46.4%** |

| | **Full-Year Ended December 31, 2015** |
|---|---|
| Operating margin guidance | Approximately 43% |
| Depreciation and amortization | Approximately 3% |
| **Adjusted operating margin guidance** | **Approximately 46%** |

# Free Cash Flow

The table below reflects a reconciliation of the Company's net cash flows from operating activities to free cash flow. The Company defines free cash flow as net cash provided by operating activities minus payments for capital additions. Management believes that free cash flow is a useful metric in assessing the Company's cash flows to service debt, pay dividends and to fund acquisitions and share repurchases. Management deems capital expenditures essential to the Company's product and service innovations and maintenance of Moody's operational capabilities. Accordingly, capital expenditures are deemed to be a recurring use of Moody's cash flow.

| | Three Months Ended March 31, | |
|---|---|---|
| *(amounts in millions)* | **2015** | **2014** |
| **Net cash flows from operating activities** | **$ 261.8** | **$ 177.2** |
| Capital additions | (19.0) | (19.1) |
| **Free cash flow** | **$ 242.8** | **$ 158.1** |
| **Net cash used in investing activities** | **$ (49.3)** | **$ (82.2)** |
| **Net cash provided by (used in) financing activities** | **$ 123.9** | **$ (222.1)** |

# Revenue and Operating Income Growth Excluding Foreign Exchange Impact

The table below reflects reconciliations of the Company's reported revenue and operating income growth rates to their growth rates assuming 2015 results were translated using the same foreign currency rate as used in 2014. The Company presents the revenue and operating income growth rates using this approach because management deems this metric to be a useful measure when evaluating the Company's revenue and operating income growth from the prior year. Management believes that the exclusion of the impact of changes in foreign exchange rates on revenue and operating income growth, detailed in the reconciliation below, allows for a more meaningful comparison of the Company's results from period-to-period.

| | Three Months Ended March 31, 2015 | |
|---|---|---|
| | **MCO Revenue** | **MCO Operating Income** |
| MCO reported growth rate | 12.8% | 11.5% |
| Add: Foreign currency impact | 5.3% | 6.5% |
| **MCO growth rate excluding foreign exchange** | **18.1%** | **18.0%** |

# Revenue Growth Excluding 2014 Acquisitions

The table below reflects a reconciliation of the reported revenue growth rate to the growth rate excluding the impact of revenue from acquisitions which were completed in 2014. The Company presents the revenue growth rate excluding acquisitions because management deems this metric to be a useful measure when evaluating the Company's revenue growth from the prior year. Management believes that the exclusion of the impact of acquisitions on revenue growth, detailed in the reconciliation below, allows for a more meaningful comparison of the Company's results from period-to-period and across companies.

| | **Three Months Ended March 31, 2015** | |
|---|---|---|
| | **MIS** | **MA** |
| Reported revenue growth rate | 14% | 11% |
| Less: Impact of 2014 acquisitions | 2% | 4% |
| **Revenue growth rate excluding acquisitions** | **12%** | **7%** |

# Expense Growth Excluding 2014 Acquisitions

The table below reflects a reconciliation of the Company's reported expense growth rate to the growth rate excluding the impact of the 2014 acquisitions. The Company presents the expense growth rate using this approach because management deems this metric to be a useful measure when evaluating the Company's expense growth from the prior year. Management believes that the exclusion of the impact the 2014 acquisitions on expense growth, detailed in the reconciliation below, allows for a more meaningful comparison of the Company's results from period-to-period.

| | **Three Months Ended March 31, 2015** |
|---|---|
| MCO reported expense growth | 14% |
| Less: Impact of acquisitions | 5% |
| **MCO expense growth excluding acquisitions** | **9%** |

# Revenue Growth Excluding Foreign Exchange and 2014 Acquisitions

The table below reflects a reconciliation of the Company's reported revenue growth rate to the growth rate assuming 2015 results were translated using the same foreign currency rate as used in 2014 as well as excluding the impact of the 2014 acquisitions. The Company presents the revenue growth rate using this approach because management deems this metric to be a useful measure when evaluating the Company's revenue growth from the prior year. Management believes that the exclusion of the impact of changes in foreign exchange rates and the 2014 acquisitions on revenue growth, detailed in the reconciliation below, allows for a more meaningful comparison of the Company's results from period-to-period.

| | **Three Months Ended March 31, 2015** |
|---|---|
| MCO reported revenue growth | 12.8% |
| Impact of foreign exchange | 5.3% |
| Less: Impact of acquisitions | 2.6% |
| **MCO revenue growth excluding acquisitions and foreign exchange** | **15.5%** |

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